and bull-market cycles in the past 100 years. We have used two indexes here. The first represents a combination of an early study by the Cowles Commission going back to 1870, which has been spliced on to and continued to date in the well-known Standard & Poor's composite index of 500 stocks. The second is the even more celebrated Dow Jones Industrial Average (the DJIA, or "the Dow"), which dates back to 1897; it contains 30 companies, of which one is American Telephone & Telegraph and the other 29 are large industrial enterprises.[1]

TABLE 3-1 Major Stock-Market Swings Between 1871 and 1971

	Cowles-Standard 500 Composite			Dow-Jones Industrial Average		
Year	High	Low	Decline	High	Low	Decline
1871		4.64				
1881	6.58					
1885		4.24	28%			
1887	5.90					
1893		4.08	31			
1897					38.85	
1899				77.6		
1900					53.5	31%
1901	8.50			78.3		
1903		6.26	26		43.2	45
1906	10.03			103		
1907		6.25	38		53	48
1909	10.30			100.5		
1914		7.35	29		53.2	47
1916–18	10.21			110.2		
1917		6.80	33		73.4	33
1919	9.51			119.6		
1921		6.45	32		63.9	47
1929	31.92			381		
1932		4.40	86		41.2	89
1937	18.68			197.4		
1938		8.50	55		99	50
1939	13.23			158		
1942		7.47	44		92.9	41
1946	19.25			212.5		
1949		13.55	30		161.2	24
1952	26.6			292		
1952–53		22.7	15		256	13
1956	49.7			521		
1957		39.0	24		420	20
1961	76.7			735		
1962		54.8	29		536	27
1966–68	108.4			995		
1970		69.3	36		631	37
early 1972	100		—	900		—

Chart I, presented by courtesy of Standard & Poor's, depicts the market fluctuations of its 425-industrial-stock index from 1900 through 1970. (A corresponding chart available for the DJIA will look very much the same.) The reader will note three quite distinct patterns, each covering about a third of the 70 years. The first runs from 1900 to 1924, and shows for the most part a series of rather similar market cycles lasting from three to five years. The annual advance in this period averaged just about 3%. We move